ACCOUNT UPDATE · SUMMARY

Pearson

Trading update · nine months ended 30 September 2026 · released 22 October 2026

Pearson is re-segmenting into four customer-focused units and completing AI-native acquisitions (ITS, Workera). It will invest in AI platforms and assessment technology.

Outlook: Expect mid-single digit underlying revenue growth for 2026.

Key numbers

REVENUE GROWTH	ADJUSTED OPERATING PROFIT	FREE CASH FLOW CONVERSION	NET FINANCE COSTS
+5%	**$863m–$896m**	**90-100%**	**c.$106m**
nine-month period	FX £:$1.35	nine-month period	interest adjusted

Organisation change

Re-segmenting into four customer-focused units effective 1 January 2027.

Effective: 1 January 2027 · One-off cost: c.**$66m** reorganisation cost, half non-cash

NEW UNIT	SIZE (US$)	LEADER
US K12	**c.$1.6bn**	—
US Higher Education	**c.$797m**	Kate Eberle Walker
UK & International Education	**c.$1.1bn**	—
Enterprise	**c.$1.3bn**	—

Growth by segment

Growth, nine months to 30 September 2026

Area of focus — where they will spend

- Invest in AI-native platforms and assessment technology
- Complete Workera acquisition to add AI capabilities
- Bring ITS assessment tech in-house
- Spend on AI-powered product launches

Key changes

- Re-segment into four customer-led units
- Reorganisation cost c.**$66m**, half non-cash, savings reinvested
- Leadership transition: Tom ap Simon leaving, Kate Eberle Walker appointed

Leadership changes

- **Omar Abbosh**, Chief Executive — **new role**
- **Tom ap Simon**, President Higher Education and Virtual Learning — **leaving** (early 2027)
- **Kate Eberle Walker**, Leader of US Higher Education business unit — **appointed**

Source: 2026 Nine Month Trading Update (press release). Amounts converted to US dollars at £1 = $1.33 (October 2026). Full detail in the companion document.